

most young people don't know what they want to do with their lives. Smart Old Money families guide them. (More on that in the next chapter.)

You develop human capital by fostering the growth of natural talents and the pursuit of individual happiness among family members.

Your human capital can also have liabilities, such as substance abuse, behavioral issues, medical problems, investment delusions, or disabled elderly family members.

Families must do everything they can to resolve these issues. If they can't fix them, they have to make sure they protect themselves from them. Those liabilities sit there on the family balance sheet, whether you acknowledge them or not. If the family and its wealth are not insulated against these problems, they are just waiting for trouble.

An unrecognized, or unprotected, problem is similar to an unfunded liability on a balance sheet. Sooner or later, it is going to blow up. If the family has enough positive human capital, it will survive. If not, it will be dragged down—and effectively cease to be a going concern.

That is also why successful families leverage their human capital. They know that there are always hidden liabilities, in both human capital and the other kind. They know that they will take unexpected losses. The only way to protect themselves is to grow and develop as much human capital as possible.

They do this by encouraging family members to develop the talents they have, whether or not they bear a direct relation to the immediate financial goals of the family. But they also give them as much exposure to and responsibility for the family money as possible.

NO ROOM FOR RETIREMENT

We have been speaking primarily about young people. Now let's talk about the old. Let's say you have worked all your life. Now, you are entitled to retire and spend your money, aren't you?

The idea of retirement was invented by social engineers who were trying to develop economic models for welfare/warfare societies. The idea has deep roots in the mechanical fascination that dominated nineteenth-century